

CASE ID: 201806710002b

EPISODE NAME: List 3 Retaliation

2018/06/18 - Ongoing

Sender: China (710)

Target: United States (2)

Issue: Retaliation (16)

Final Outcome: Ongoing

2018/06/18 - Ongoing

Summary:

On 2018/06/18, China issued a counter-threat to the US after president Donald Trump threatened sanctions on \$200 billion worth of Chinese goods should Beijing retaliate for tariff lists 1 and 2. On 2018/09/17, China imposed its threatened tariffs hours after the US imposed its own retaliatory duties. The episode is ongoing.

Narrative:

On 2018/06/18, China issued a counter-threat against the US after president Donald Trump said Washington would impose \$200 billion worth of tariffs on Chinese imports if the country retaliated against list 1 and 2 tariffs.¹ The Chinese Commerce Ministry issued the threat, warning that China would “have to adopt comprehensive measures combining quantity and quality to make a strong countermeasure.”²

After the Trump administration announced a proposed list of \$200 billion worth of tariffed products on 2018/07/10, China responded with its own list of \$60 billion worth of tariffs on mostly agricultural, chemical and metal imports on 2018/08/03.³ Reporting suggested China’s retaliation was expected to cause significant disruption to US Liquefied Natural Gas markets.⁴

After the US imposed 10% tariffs on list 3 products – with a plan to increase them to 25% at the beginning of 2019 – on 2018/09/17, China imposed 5-10% rates on its \$60 billion worth of

¹ Swanson, Ana, Keith Bradsher and Katie Rogers. “Trump Threatens Tariffs on \$200 Billion in China Goods, Escalating Fight.” *New York Times*, 18 June 2018.
<https://www.nytimes.com/2018/06/18/us/politics/trump-says-us-may-impose-tariffs-on-another-200-billion-worth-of-chinese-goods.html>

² *Ibid.*

³ Aiello, Chloe. “Trump administration announces list of tariffs on \$200 billion in Chinese goods.” *CNBC*, 10 July 2018. <https://www.cnbc.com/2018/07/10/white-house-releases-list-of-goods-hit-by-200-billion-in-tariffs.html>

⁴ Ellyatt, Holly. “Leave oil and gas out of US-China trade dispute, energy execs warn.” *CNBC*, 18 Sep. 2018.
<https://www.cnbc.com/2018/09/18/us-lng-could-be-targeted-by-china-in-tariffs-retaliation.html>

retaliatory tariffs the same day.⁵⁶ Despite a 90-day truce agreed on 2019/12/01, the US ultimately increased list three tariffs as planned on 2019/05/09.⁷⁸ China followed suit on 2019/06/01.⁹

The episode is part of a larger campaign of economic coercion that began on 2018/03/01, when the United States announced it would impose global steel and aluminum tariffs.¹⁰ The two countries eventually traded four lists of tariffs.

These sanctions are still in place, and the episode is ongoing.

⁵ Palmer, Doug. "Trump to slap tariffs on \$200B more Chinese goods." *Politico*, 17 Sep. 2018.

<https://www.politico.com/story/2018/09/17/trump-china-trade-war-tariffs-826313>

⁶ Kuhn, Anthony and Avie Schneider. "China Sets Tariffs On \$60 Billion In U.S. Goods, Retaliating Against U.S. Duties." *NPR*, 18 Sep. 2018.

<https://www.npr.org/2018/09/18/649120519/china-sets-tariffs-on-60-billion-in-u-s-goods-retaliating-against-u-s-duties>

⁷ Breuninger, Kevin and Javier David. "US will hold off on raising China tariffs to 25% as Trump and Xi agree to a 90-day trade truce." *CNBC*, 1 Dec. 2018.

<https://www.cnn.com/2018/12/01/us-china-wont-impose-additional-tariffs-after-january-1-report.html>

⁸ Swanson, Ana and Alan Rappeport. "Trump Increases China Tariffs as Trade Deal Hangs in the Balance." *New York Times*, 9 May 2019. <https://www.nytimes.com/2019/05/09/us/politics/china-trade-tariffs.html>

⁹ Pramuk, Jacob. "China is raising tariffs on \$60 billion of US goods starting June 1." *CNBC*, 24 May 2019.

<https://www.cnn.com/2019/05/13/china-is-raising-tariffs-on-60-billion-of-us-goods-starting-june-1.html>

¹⁰ Swanson, Ana. "Trump to Impose Sweeping Steel and Aluminum Tariffs." *New York Times*, 1 March 2018.

<https://www.nytimes.com/2018/03/01/business/trump-tariffs.html>